



International Oil & Gas Fiscal Systems & Energy Transition

Navigate the Energy Shift: Petroleum Fiscal Systems for a Sustainable Tomorrow



Petroleum World Fiscal Systems & Energy Transition

Run over 40 years now, these courses provide participants with an intimate knowledge of petroleum upstream fiscal systems. At the same time the rapid current developments in energy transition requires significant attention to this issue. Therefore, the course consists of 2 days – Energy Transition and 2.5 days – Oil and Gas Fiscal Systems. Participations can take either Energy Transition or Oil and Gas Fiscal System or both topics.



LOCATION

Dubai, UAE

Houston, USA

London, UK

Kuala Lumpur, Malaysia

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Day 1

Morning session

Introduction

- General course overview

Energy Transition:

- Renewable Energy Developments
- Renewable energy economics.
- Current costs of solar and wind
- Anticipated solar energy developments
- Future costs of solar energy
- Concentrated Solar Power
- Anticipated onshore and offshore wind developments
- Future costs of wind energy
- Hydropower
- Geothermal energy
- Biomass
- Biofuels
- Conclusions on renewable energy economics
- Range of estimates of role of renewables in energy production.

Energy Storage

- Energy storage economics
- Large variety of energy storage methods
- Current energy storage costs
- Battery storage cost trends
- Future utility scale energy storage costs
- Estimates of future storage availability
- Impact of storage costs on electricity production and transport sector

Afternoon session

Carbon pricing and low-carbon regulations

- Carbon taxes and emission trading schemes (cap-and-trade, baseline-and-credit)
- Border carbon adjustment
- Carbon offsets and credits: compliance and voluntary markets, intergovernmental market
- International carbon market developments

Hydrogen

- Hydrogen basics
- Grey, blue and green hydrogen
- Costs of grey and blue hydrogen production
- Green hydrogen production methods
- Current costs of producing hydrogen
- Hydrogen production economics
- Low-cost countries
- Hydrogen storage
- Transport of hydrogen
- Hydrogen fuel cells
- Green hydrogen for electricity production
- Green ammonia
- Green hydrogen for the transport sector
- Green hydrogen to produce fuels
- Hydrogen to replace natural gas
- Forecasts of future green hydrogen production

Day 2

Morning session

Carbon Capture and Storage

- Variety of measures of carbon capture and underground storage
 - BioEnergy Carbon Capture and storage (BECCS)
 - Biochar
 - Direct Air Capture (DAC)
- Misconceptions about Future Energy
- Misconceptions about future energy

Worldwide Future Trends

- Anticipated world and petroleum industry developments
- Unconventional resources
- Long term fiscal trends

Climate Change

- Oil and gas demand under climate change scenarios
- Net Zero by 2050 or 2060
- IEA roadmap 2050

Forecasts of Energy, Oil and Gas Developments – 2050

- IEA Scenarios
- Forecast of world energy production
- Forecast of world oil production
- Forecast of world natural gas production and consumption
- Forecast of the crude oil price
- Forecast of the level of government take

Energy Transition Process

- New structure of the petroleum industry
- Type of companies involved in energy transition
- Petroleum companies who are diversifying

Afternoon session

Energy Transition Process

- Petroleum industry restructuring
- Power industry restructuring
- Wind companies
- Solar companies
- Independent hydrogen producers
- New competitive environment

Role of Government in Energy Transition

- Organisation of Ministries
- Energy transition policies
- Elimination of subsidies
- Petroleum land management
- Natural gas development

Petroleum Energy Arrangements

- Narrow scope future petroleum energy arrangements
- Wide scope future petroleum energy arrangements
- Package deals on energy and petroleum

End of Energy Transition Module

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Day 3

Morning session

Oil and Gas Fiscal Systems: Introduction

- Aspects of the oil and gas relevant for the upstream fiscal terms
- Allocation of oil and gas rights
- Petroleum contracts
- Economics
- Petroleum fiscal terms and government take

Royalties, Bonuses, Rentals

- Fixed and sliding scale royalties, royalties in kind and cash

Royalty concepts:

- Price sensitive royalties
- Signature bonuses through bidding, negotiation and directly determined by government
- Rentals and acreage management

Afternoon session

Corporate Income Tax

- Consolidation and Ring-fencing
- Gross revenue determination
- Deduction of other payments to government
- Deduction of operating costs and headquarter costs
- Alternative capital depreciation methods
- Deduction of interest
- Loss carry forward and carry backward
- Tax credits and uplifts
- Tax rates



Day 4

Morning session

Production Sharing

- The original Indonesian concept
- Cost Oil, cost oil limits and sliding scales
- Uplifts
- Profit Oil and sliding scales
- Special terms for gas
- Production sharing and other fiscal payments
- Accounting procedure

Joint Ventures and state participation

- Joint stock companies and joint operating agreements
- State participation
- State participation from Day 1
- Fixed rate carried interest for state participation
- Carried interest and corporate income tax
- Carried interest and production sharing

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Afternoon session

Progressive and Special Taxes

- Gross Revenue Taxes
- Surtaxes, Hydrocarbon Tax
- Special Taxes
- IRR based taxes
- IRR based profit oil and royalties
- R-factors
- Combination scales

General Taxes and Duties

- Taxes on subcontractors
- Value added taxes, credits, refunds
- Import duties, Export duties
- Property taxes
- Carbon Taxes
- Local content
- Domestic market obligations
- Others

Flexible Gross Revenue Splits

- The concept and designs

Service contracts

- The concept, applications and designs

Guaranteed minimum share

- The concept and designs

Incremental production contracts

- The concept and designs



Day 5

Morning session

Level of Government Take

- Determination of level of government take
- Fiscal Stability

Nature of Government Take

- Sharing of divisible income: progressive, neutral, regressive and hybrid systems
- Fiscal health: cost and price efficiency, maximum economic recovery
- Fiscal structure policies: Front end and back-end loading, Geological risk and government take

Incremental analysis

- Incremental analysis: overview, analysis of various fiscal features
- Analysis of gold-plating

Country review of fiscal systems

Government Policies

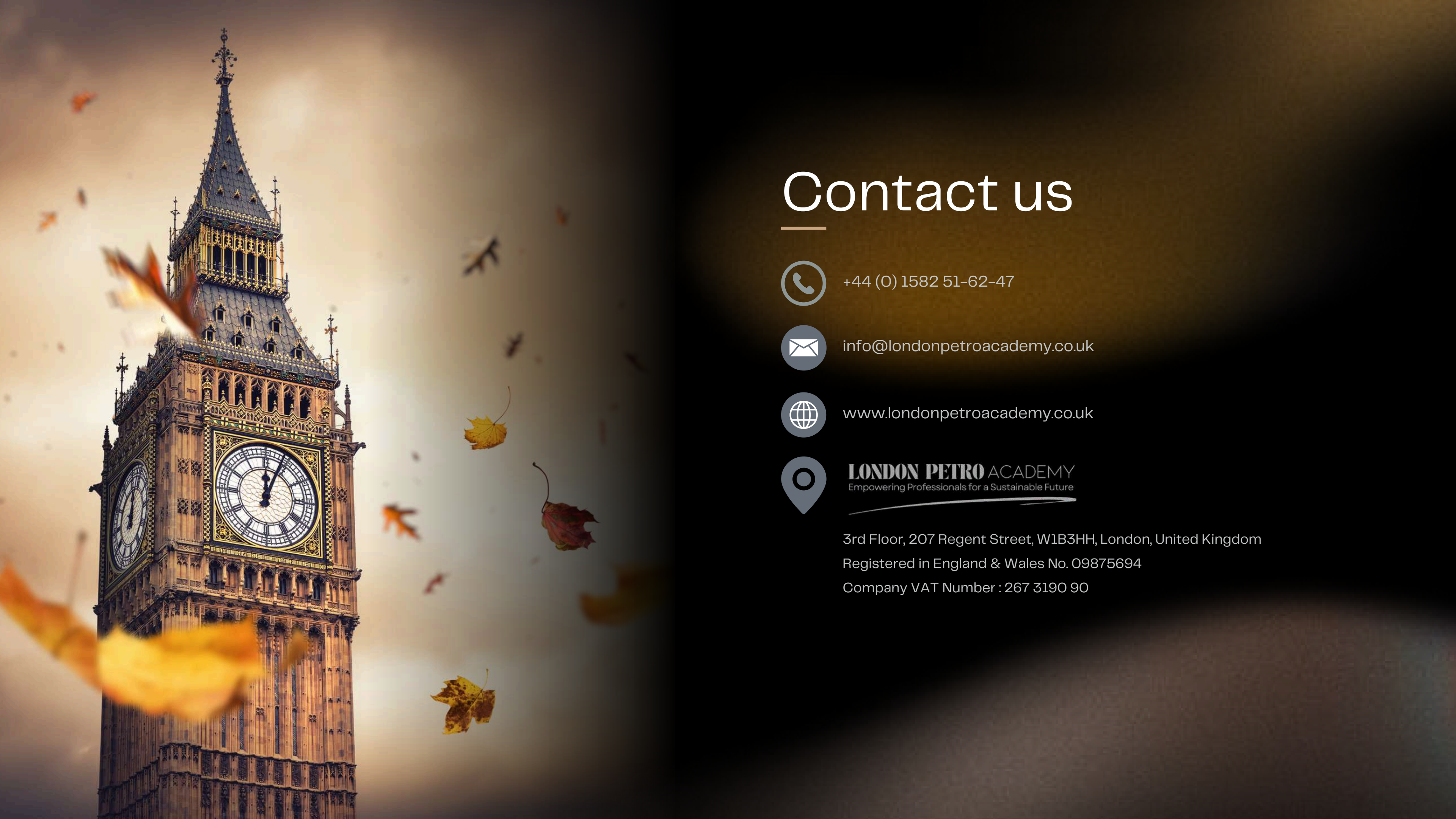
- Risk sharing
- Resource policies
- Economic policies
- Administrative policies

Future Petroleum Fiscal Terms

- Fiscal systems for energy transition
- Long term global tax developments
- Importance of price progressivity
- Importance of reducing front end loading

End of the course

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